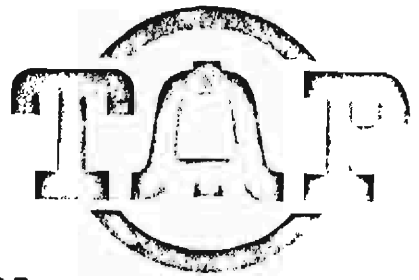


by Cheshire Catalyst



**TAP
ROOM 603
147 W. 42 ST.
NEW YORK 10036**

The 1983 credit card code has not, as of this writing, been cracked. What this article is about is the status of research into cracking the code, and what you, our readers can do to help.

First off, the thing is now called a "Calling Card". This is due, I believe, to a couple of factors. First off, calling something a "credit card" carries with it a number of legal obligations that may have been sticking points with some regulatory commissions when customer complaints came in of someone using their credit card number. It may just be a marketing ploy, since regulations regarding them have changed, in that if you place a Calling Card call from a pay phone, it is cheaper than a regular Operator Assisted call. The reason for this, of course, is that The Phone Company is putting in computers to accept Calling Card numbers touch toned in, without needing an operator. Ergo, no operator, the operator assisted charges are a fraud. I'd love to have been there when they first got called on that.

The first thing one notices about the new Calling Card, is the fact that there are two numbers on it. There is your Calling Card number, and your International Number. The International Number is the same old format that we are all familiar with, and I regret that we've spent so much time on the domestic number, that we haven't gotten around to getting the international code broken. Sorry about that.

The Calling Card is laid out as follows:

NPA NXX 1234 5678

where NPA is the area code, NXX 1234 is the phone number, and 5678 is the "check sum". It was first thought that perhaps the code used the "same old format", but used one for each digit, but we now think that there may be some kind of equation that drops the 1234 down to the 5678 locations. Some of the cards have the old RAO's in place of the NPA. These are usually company billing numbers. The reason the RAO's are being phased out seems to be because the intermixing of Telco revenues and disbursements via the RAO process is changing under the new de-regulations of the telephone companies.

The word we got a few years ago stated that Bell would put every telephone credit card on a big computer somewhere, and every credit card call would be checked against the data base. We laughed off that one as being too big a job for even Telco to pull off. Then we heard about CCIS, the Common Channel Interoffice Signalling system that would have computer communications links between all telephone toll centers, and all calls would be connected by having the computers tell each other where to switch the calls to. Now that CCIS is installed almost everywhere important, it actually is possible to reprogram the TSPS operator position so that as the operator punches in the Calling Card number, it flashes down to the Dallas database, and the database sends back an "ack" or "nack" (acknowledge or negative acknowledge) signal telling the operator whether it feels the card number was a valid one.

If this is the case, then the last four digits can be a completely random assignment by the telco computers. We rack our brains trying to figure out the coded numbers, and forget to break the International Number code. Brilliant, these telco types.

Anyone who wants to make fools of the TAP staff, can easily do so. In this case it will be easier still by showing where we've made terrible mistakes, and mentioning in your letter where we've really messed up, and how simple the whole thing really is. Another thing you could do, is to send us any Calling Card numbers you may collect to add to our statistical base so that we can try to determine whether or not there really is some method to the Telco madness.

By the way, one of the reasons laid out in the brochure about the new method of punching your Calling Card number into a coinless pay phone is that your number won't be overheard in crowded train stations and airports when you tell it to an operator. Now who would be that unscrupulous?

12th ANNIVERSARY ISSUE No. 85

MAY - JUNE 1983

ATM TECHNOLOGY II By John Williams, MSEE

Thank you for your informative article, ATM TECHNOLOGY, Issue #82 by Jolly Roger. Among our many controversial survival publications, we sell AUTOMATIC TELLER MACHINES (ATM) - 2nd Edition. ATM describes, in vivid detail, vulnerabilities of ATMs and credit cards. Jolly Roger discussed a number of effective methods covered in greater detail in "ATM." Among some methods not described by him is the easiest and most effective one of all. Stay tuned!

"ATM" is so hot that our 1st. Edition was criticized in a 7-page article solely devoted to it ("ATM Report," Feb., 1, 1982). It states, "...could cost our industry millions --- or even tens or hundreds of millions --- of dollars if it gets wide distribution among those criminally inclined." "ATM Report," a prestigious banking industry newsletter, is published by ATM REPORT, INC., 1 World Trade Center, Suite 1933, New York 10048, and apparently services about 250,000 executives in the banking/ATM world.

The banking/ATM industries are so alarmed by "ATM" that "ATM Report," among its many outrageous remarks, threatened harassment-type lawsuits. On Page 6 it states, "...Williams should be attacked with multiple lawsuits in every possible way."

ATMs are literally gold mines that can be mined by virtually anyone - no experience or skill required! We have received reports from all over the country stating that ATM frauds have doubled to quadrupled in 1982 from 1981! Citibank of New York recently (reluctantly) reimbursed customers for \$135,000 - just a fraction of the ATM fraud perpetrated against that bank alone in just a few weeks time! Because of collusion with the traditional news media, less than 1% of ATM crimes are ever reported - and the arrest and conviction rates are virtually non-existent! Even the TV documentaries, exposés and talk shows won't touch ATM frauds!

ATMs are the biggest mistake made by the banking industry since they caused the Great Depression! Frankly, I have zero sympathy for anything that happens to banks because most Americans have been cheated out of a decent standard of living by these vulturous money speculators.

Now - here it is: Some less than sympathetic with the hapless plight of money-speculating bankers, have found it to be profitable to use a good disguise, or to "lend" their debit card to a good buddy and then fix themselves up with an alibi. Some ATMs are monitored by real and/or fake cameras. Care is taken accordingly. When they receive their bank statement, they immediately yell that their card was stolen or counterfeited and demand, under Regulation E, immediate refund of the missing monies.

Regulation E protects ATM users from frauds against their accounts. Simply by invoking "Reg. E," the bank must immediately be prepared to do one of two things: 1. Prove that one defrauded his account, or 2. Return 100% of all monies missing from that account. ATM crimes are hard to prove. Banks cannot legally force patrons to take lie detector tests or fingerprints, or detain patrons (other than easily provable bank robbers) against their wills without incurring incredible civil - even criminal - liabilities. And banks will do almost anything to avoid bad publicity.

Another method is gaining popularity, particularly with remote ATMs. A thin piece of sliced American cheese is fed into the ATM card slot (resulting in expensive repairs). The little devils simply wait until the repair crew shows up and opens up the ATM; they then spring into action.

We are preparing a lawsuit against ATM REPORT, INC., at least one president of a major ATM manufacturing firm, and a shit-pop full of other big-shot banking/ATM collaborators. We expect to sue for at least \$50 Million. We need legal and investigative help. We are seeking a contingency-fee attorney (one who is prepared to be the next F. Lee Bailey or Gerald Spence! - one who will bust his buns for 33% of a large fortune!)

We can't pay helpers anything now, but we will pay 10% of the final award (our case is excellent), divided-up among all non-attorneys who assist us. This is the golden opportunity for courageous, adventurous and conscientious go-getters - those who feel that they must do something about the banks NOW! - those who relish putting their investigative and analytical skills to full throttle! By the time we get done dredging up big-shot defendants and their misdeeds, we expect this case to turn out to be one of the most shocking and sensational cases of this century. Your role can be great or small. Any information you can provide whatsoever about ATM REPORT, INC., its officers, employees and others involved with them is much appreciated. Use whatever name you want, and whatever means you judge to be consistent with the U.S. CONSTITUTION and THE DECLARATION OF INDEPENDENCE to obtain justice in this matter. To help, contact: **CONSUMER TRONICS CO.**, PO Drawer 397, Alamogordo, NM 88310 - and pass the word along - we need all the help and support we can get to effectively fight these big-shots and win our case!

Shoplifting: Let's say (for purely theoretical reasons) that you are in your local radio rip-off store and you see a nice set of chips that go for 10 dollars each and you only have 1 dollar. The chips are behind the counter so you can't take them, now what?

Just take something that is worth 20 dollars and easily stolen. The next day walk on in and say that Uncle Jim got you said product for your birthday and that you wish to exchange it.

Most places will not give you cash unless you have a receipt, however some places do especially during the Christmas season. Or you could go and steal a book of receipts and write your own although it is wise to be very careful to fill it out the right way. This trick can also be used to write out your own receipts at restaurants and switch them for the one you are given.

As a matter of fact in some places I have taken something right off a shelf and taken it up to the refund dept. for cash. Isn't it nice? You have a fence that happily pays you face value for products and you don't even have to leave the store and risk being caught. Just think of it as an alternative to Social Security!

Free records: I'm sure most of you have heard of the old trick of sending in applications to RCA and Columbia House addressed to a mail drop and after receiving the record closing the drop. If you don't have a drop or can't get one you are still eligible for free records. Send the club several applications under different names and only fill in one or two of the slots for record selection. When the records come you will also get a bunch of certificates for the empty selection boxes. Remove the certificates and send the records back stating that the club sucks etc. Now get a sub under your name and don't fill in one or two of the boxes. When the records come use the certificates that you have accumulated to fulfill the sub agreement.

Opening P.O. Boxes: First of all playing with mailboxes (whether it's blowing them up or stealing the mail) is a federal rap so be CAREFUL. The old type of PO boxes (the type that have two wheels marked A to Z) are very simple to open. To find out the combination place your finger on the opening button and give it a hard jerk. As you do this watch the right hand wheel very closely. You will notice that it moves slightly. Turn the wheel to the next position and try again. At one point you will notice that the wheel stays absolutely still. This is the opening letter for this wheel.

The reason why this works is that when the button is hit a cam hits the wheel and thus the wheel jumps. When the wheel is aligned to its opening letter the cam falls into the cut in the wheel and there is no movement.

Red Boxings: In issue #36 with Al Bell's red box I had some trouble getting the 1700 Hz oscillator to go low enough without distorting and loosing volume. By adding a .001 uF cap in parallel with one of the .005 uF caps the problem cleared up.

Awhile ago while I was in I tried to red box on ACTS and the op came on instantly and asked what the problem was. I said that I had deposited 15¢. She returned the nickle and told me to start putting in money. So I put in the old nickle and "beeped" a dime. Before one could say Holy Shit the op started to get mad and asked what I was trying to pull, to which I replied "Your leg".

Interestingly, when I deposited my nickle there was no beep. The earpiece shorted as soon as the coin hit the mechanism. There are three possibilities as to what had happened. 1) The op can see if there is a coin in the mechanism. 2) The sound is transmitted over a different set of wires, like out of band signaling. 3) Some phones use a different set of frequencies and/or timing and the earpiece is shorted during the beeps in order to prevent us from finding it out and making another red box.

Credit Cards: A friend of mine gave me the CC number from a large corporation in Texas and after a bit of playing I decided to check it against the RAO codes and check digits listed in TAP. The RAO did not exist, and the area code was listed under southern IL. Only the check digit was OK. The phone number of the

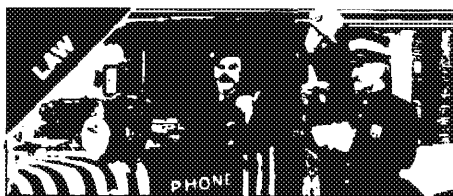
card did not exist at all. My guess is that large corporations that would not notice abuse for one or two months can get a made up CC number so that it could not be broken by a phreak.

Once while using the card the op asked me all kinds of questions such as the name of the firm, expiration date, location and the name of my supervisor. Can she call these things up on a computer or is she just bullshitting?

The network: If you have automated credit card (calling card I should say) service, here is what happens when you punch in the card number. The number is received by the Traffic Service Position System which checks the card for validity. To do this it accesses the local Network Control Point which is a sub-system of the Stored Program Controlled Network. The SPNC is a system that is made up of CCIS and a computer network made up of most of the local COs. With the introduction of CCIS these computers are now linked together through the data lines of CCIS, and thus can update each other and run checks to see if a card actually exists.

In order to make it possible for the SPNC to be updated more rapidly Bell has introduced a Data Base Administration System. Currently this system provides Network Control Points with up-to-date on credit card numbers. This system accepts customer information from telephone company service order systems and sends it to the appropriate NCP when they are least busy—usually at night.

Some of these DBASs can be reached by a dial-up terminal. Since the system accesses all the NCPs this means that one could create fictitious CC numbers that would work anywhere. One could also cancel or otherwise manipulate CC information from anywhere of anyone. Anyone who has info on this system such as dial-ups etc. drop me a line c/o TAP.



HOW TO FIGHT A TRAFFIC TICKET... AND WIN

Is it possible to fight an unjust traffic ticket—even a radar-backed speeding ticket—and win? The answer could be yes, if you combine your sense of justice with a little time and money.

According to Charles Butler, a driver-education consultant at the American Automobile Association (A.A.A.), there are a number of criteria to consider before you make the decision to fight:

"Your No. 1 consideration should be whether the ticket is unjust or not," says Butler. It's important to remember here that police officers can make mistakes.

Radar use has come under increased attack in the past few years, as studies indicate that when the units are operated under the wrong conditions or by an inexperienced policeman, their accuracy can be thrown off.

Fighting a ticket is by no means a snap. You'll have to make at least one court appearance and possibly hire a lawyer. But consider the alternatives. Depending on the type of violation, you will have to pay a fine or take a driver-education course, or if your driving record already has marks, it could mean temporary suspension of your license. There may also be a big boost in your auto insurance premium.

At the scene: The key to winning your case in court is knowing what to do when the officer gives you the ticket. First and foremost, be polite. Too many people attempt to try their cases right on the roadside. Ask the police officer a few cordially phrased questions. What are you being charged with? If you've been stopped for speeding, ask how you were clocked. If radar was used, ask what type of unit the officer operates and if he has locked in your speed on the screen in his car. You might also ask him where you were when he clocked you.

Next, consider the scene itself. Note your exact location. Were other vehicles nearby when you were stopped? Were there power lines overhead? Radar readings can be thrown off by interference from high power lines, CB radios, the police car's air conditioner or dashboard vibrations and the cars that surround yours when you're clocked. Radar-backed tickets are tough to beat, but you can improve your chances if you know to pin the blame on circumstances—and not on the machine itself.

If you decide to challenge the ticket, consider hiring an attorney. It is an added expense, but if conviction means losing your license and/or hundreds of dollars more in insurance money, it may ultimately be worth it.

According to attorney Robert D. Kiser, who founded the Ticket Clinic, a Texas-based chain of law offices that represent only traffic violators, getting an attorney shows the prosecutor that you mean business. Try to find an attorney who handles traffic tickets with some frequency and who will quote some low rates.

Going to trial: The judicial process varies somewhat from state to state, but generally, a pre-trial hearing is scheduled, which you, the judge, the prosecutor and the arresting officer must attend. (If you've hired an attorney, he may also attend.) At the hearing you enter your plea and tell your side of the story and the police officer tells his. The attorney will quiz the officer on all the important particulars that you were so careful to gather at the scene. Chances are, the officer won't remember it all as clearly as you will, and if he doesn't know how to answer your detailed questions, you're well on your way to discrediting his testimony.

What if you act as your own attorney? California patrolman David Kelley, author of *How to Talk Your Way Out of a Traffic Ticket* (Mark III Productions), believes you still have a chance—but he stresses that you must be well-groomed, polite and well-prepared (if it is legal and safe, go back to the scene and take notes).

Depending on how well you do here, the prosecutor may decide to dismiss your case. If, however, nothing can be settled at this hearing, you may opt for a trial. In most states, you may choose either a jury trial or a trial by judge. Always pick the jury trial. A judge will naturally tend to trust the testimony of the policeman more than he'll trust yours, claims Robert Kiser. The jury—which you've had a hand in picking—may be more sympathetic.

Western Union has a system called "Metrofone". It works like MCI, except it uses 6-digit switch codes instead of 5 digits. After dialing the metro access and getting a tone, enter 227865 + area code + number. The call goes thru. Here's a list of the Metrofone numbers below. 227865 works on all of them:



by Oz Y. Mandlin

"I tip my hat to the new revolution,
Take a bow for the new constitution,
Smile an' grin at the change all around,
Pick up my guitar and play,
Just like yesterday,
And I'll get on my knees and pray,
We don't get fooled again."

--The Who

On TAP

by
TOM A. EDISON

This issue marks the 12th anniversary of TAP and the 9th anniversary of my association with TAP. They have been 9 hard but rewarding years. I hope to have many more years in association with TAP.

OUT OF STOCK ITEMS

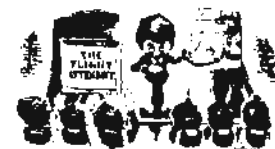
TAP has sold out of mugs, T-shirts, patches, and tapes. Please do NOT order them anymore.

DELIVERY TIME

Orders accompanied by CASH, money orders, or certified checks will be shipped immediately. Orders accompanied by personal checks will be shipped in 4-6 weeks or until your check clears your bank.

OLD CONVENTION FREEBIES

In cleaning out the TAP office recently I came across a pile of handouts from the 1973, 1979, and 1980 conventions as well as copies of the original TAP flyer that Al Ball and Abbie Hoffman passed out at the 1971 Washington D.C. anti-war rally. Rather than throw them out, I will give them away FREE to anyone who request them and sends a stamped self-addressed envelope with \$.37 postage.



Fly Now, Pay Later

Like many flight attendants, William Cohn, 30, of Miami, often took advantage of an airline practice called deadheading. In which employees hitch rides to work assigned flights in other cities. For almost a year, dressed in a Pan Am uniform, using an unauthorized ID number and traveling under the name B. Cohen, he jetted around the world on various Pan Am flights, virtually for free. As is customary, he usually pitched in to help the crew and even received letters of commendation from flight attendants and supervisors. But two months ago, a Pan Am security official, noticing that the airline's computer system had kicked out the name B. Cohen on a Miami-to-London flight as an unidentified employee, launched an investigation. On Dec. 23, the free ride ended for Cohn when Dade County police arrested him in a Miami Pan Am office.

Cohn was charged with one count of grand theft, which carries a maximum sentence of five years in prison. "He infiltrated Pan Am," explained Detective William Sayers. "He made a good impression. He knew the language of the profession. He served meals and drinks and fluffed pillows." Despite an obvious aptitude for the job, one Pan Am spokesman was unimpressed. Said he: "I don't think we will have any plans to hire him."

Anaheim, CA	(714)	527 7055
Atlanta, GA	(404)	223 1000
Austin, TX	(512)	474 6057
Baltimore, MD	(301)	659 7700
Beaumont, TX	(713)	833 9331
Boston, MA	(617)	482 3222
Buffalo, NY	(716)	852 9200
Chicago, IL	(312)	853 4700
Cincinnati, OH	(513)	241 1747
Cleveland, OH	(216)	861 5163
Columbus, OH	(614)	224 0577
Culver City, CA	(213)	410 0078
Dallas, TX	(214)	742 4500
Dayton, OH	(513)	228 1576
Denver, CO	(303)	623 5326
Detroit, MI	(313)	963 4847
El Monte, CA	(213)	350 1028
Elk Grove, IL	(312)	981 8870
Fort Worth, TX	(817)	338 1639
Hackensack, NJ	(201)	487 3155
Hartford, CT	(203)	522 0003
Hawthorne, NJ	(201)	427 1100
Mansdale, IL	(312)	986 0566
Houston, TX	(713)	224 9417
Indianapolis, IN	(317)	635 6284
Kansas City, KS	(913)	421 3186
Kansas City, MO	(816)	471 1999
Long Island, NY	(516)	433 5402
Los Angeles, CA	(213)	629 1026
Miami, FL	(305)	326 3300
Milwaukee, WI	(414)	277 1805
Minneapolis, MN	(612)	370 9000
New Orleans, LA	(504)	566 8500
New York, NY	(212)	732 7430
Newark, NJ	(201)	645 9220
Oakland, CA	(415)	836 6900
Oklahoma City, OK	(405)	232 9011
Omaha, NE	(402)	422 1120
Philadelphia, PA	(215)	351 0100
Pittsburgh, PA	(412)	261 5720
Reno, NV	(702)	329 1025
Richmond, VA	(804)	225 1920
Sacramento, CA	(916)	443 6921
San Antonio, TX	(512)	224 9600
San Diego, CA	(714)	233 0327
San Francisco, CA	(415)	956 0162
San Jose, CA	(408)	947 7606
San Mateo, CA	(415)	579 6001
Santa Ana, CA	(714)	972 9515
Seattle, WA	(206)	382 0910
Skokie, IL	(312)	679 8120
Syracuse, NY	(315)	474 3911
Toledo, OH	(419)	243 1046
Washington, DC	(202)	737 2051

Phone Flam

A double reverse that worked for the wrong reason.

Every time anyone phones information in San Francisco the first thing they hear is a recording that goes something like this: "You really can help keep phone costs down just by looking up numbers that are in the phone book whenever possible. Thanks for helping. Please stay on the line and give the operator the city and name you wish." A live person then comes on and gets the requested info.

It is very annoying to listen to that promotional preface each instance you dial 411. You feel helplessly slowed down, not unlike a child being reprimanded.

The minifecture is an energetic attempt by the San Francisco Telephone Company to lower its personnel expenditure. Almost everyone I met out there during a recent trip said they were using the white and yellow pages a great deal more than before. Not, however, because they agree with the taped plea or out of economic loyalty to Ma Bell, but because they can't stand to hear the same message repeated every time they ask for a number. They'd rather let their fingers do the walking than their mouths do the talking so their ears can take a rest. When the local phone bigness decide to end the campaign it will be curious to see if the amount of 411 calls goes back to the prephone level. Most people are betting it will.

This month, salute fallen freedom fighter, Chris Ryan, who declared recently, "...I think the U.S. Govt. needs a few more traitors. Humanity needs a few more traitors." Wise words, indeed.

Correction: Atlan Form. (See 'Still in Saigon') is in Arkansas (AR), not Arizona (AZ); the rest of the address is correct. Thanks to Mr. Phelps for pointing this out.

FOIA File: The guide to scramblers and encryptions:

'User's Guide: Voice & Data Communications Protection Equipment', NTIA-CR-80-9, is available by writing the U.S. Dept. of Commerce, National Telecomm. & Info. Administration, Washington, D.C., 20230. Free, too. Don't Leave Home Without It: Colloidion, available in drug stores as a liquid or spray

('Nu-skin') for minor cuts, is useful for painting or spraying on your hands and fingertips, so that you don't leave fingerprints when you're on 'business.' Protection lasts for a number of hours & it'll fuck up the head of any rookie cop that tries to take your prints.

Security Alert: The pigs have been known to bring dope dogs around for a sniff to those rental storage spaces that have become quite common. So think of some place else to store your bales of contraband. The pigs aren't that stupid, they know how dealers think.

The Hypnotized Never Lie: 'Death in Washington' (by Donald Freed & F. Landis; Westport, CT:

Lawrence Hill, 1980) is a fascinating, detailed analysis of how the CIA murdered Chile through a campaign of psych-war that preceded the U.S. sponsored fascist coup. The whole thing sounds out of this world, but Dr. Landis was arrested and then released by Customs in '82 on a phony charge just so the CIA could examine the papers in his briefcase & that is evidence enough for me that he was on the mark.

Fuck Nat'l Security: 'Born Secret' (by A. DeVolpi et al., N.Y.: Pergamon, 1981) is a comprehensive study of the 'Progressive' H-Bomb case by 4 Argonne Nat'l Lab scientists. Included is an entire chapter on H-Bomb tech, the complete Morland article & Argonne letter the govt. tried to suppress & a number of info. sources worth checking up on.

In a world of mutual assured destruction, we deserve a piece of the action too.

Silent Luger Inter Arms: Interested in Teflon or other A.P. type ammo? Steel-jacketed rounds are about a half as effective, still going through 2 vests. Examples that are widely available include Czech mil. surplus 9 mm, and other imports such as those of Norma Co. (Sweden), GECO (West Germany) & Lupus (Finland). All you 'subnational elements' out there are urged to stock up while you can.

A wicked fiberglass & nylon double-edged knife, 6 3/4" length, weighing less than an oz., is available for \$7.95 from A.G. Russell, 1705 F. Hwy 71 N., Springdale, AR 72764 (800-255-9034). It's useful for airports or wherever metal detectors are an inconvenience.

An armed populace is the first and ultimately only defence against tyranny. Delenda est Carthago!

This is Outlaw Oz, with contributions from Agent Orange, obseefing disdainfully that,
'There's nothing in the streets,
Looks any different to me...'

Correction to V & H Program

by Cheshire

In a recent issue that carried a copy of a program for figuring out airline distance between Telco Rate Centers, there was a "typo". The typo was caused by a daisy wheel type wheel that didn't have the "^^" char in the right place, and had a "^^" in it's place. Since I haven't got a copy of the program in front of me, I think the line should have read:

XX0 D=BQR((V1-V2)^2)/10+((H1-H2)^2)/10

Where XX are the starting digits of the line number. Sorry for the inconvenience.

Local phone call fee-plan draws fire

WASHINGTON — Despite the resistance of consumer groups and state regulators, telephone companies across the country are trying to apply their long-distance pricing procedures to local phone service.

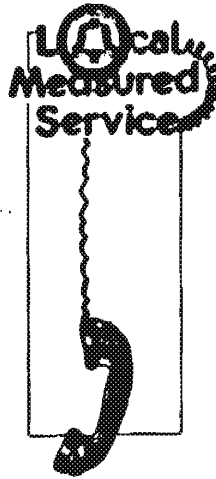
Local calls would be "measured" — in other words, billed — on the basis of time-of-day, day-of-week, the length of a call and distance — just like long distance. The industry calls such pricing Local Measured Service or LMS for short.

Telephone officials assert that Local Measured Service offers the best option to skyrocketing local rates while properly forcing the people who use the phone network the most to pay for that use.

The Florida Public Service Commission recently rejected a bid by Southern Bell to offer LMS as an option. Part of the problem, says Commissioner Susan W. Leisner, "was it just got too complicated for consumers. There's really no way to keep track of your calls or verify charges."

And Southern never really justified the variable cost by elements. For example, does it really cost them more if you stay on the phone for 38 minutes instead of 15 minutes?

Ms. Leisner attributes Southern Bell's defeat to an overwhelming local reaction. I think a lot of the upsurge came from retirees from New York, where they had it and hated it.



The debate over Local Measured Service is not new. Cities like New York and Chicago have operated under various types of LMS billing for decades. The controversy is building, however, because of the pending breakup of the Bell System, major changes in regulation and suspicions that the phone companies want to make LMS mandatory.

But the main obstacle is the very natural, instinctive reaction against

change," says spokesman Pic Wagner of AT&T.

There is also the matter of money. With any pricing system, there are winners and losers. Joseph R. Fogarty, a member of the Federal Communications Commission, is fond of pointing out a parent with teenagers is not going to be a winner with measured service.

That's the point, counters Patricia Montgomery of Illinois Bell. Should a neighbor who doesn't place many calls subsidize that teenager? A flat rate can't be offered, she notes, without averaging every customer's usage.

"Chicago telephone rates are among the lowest in the country because customers pay for what they use," Miss Montgomery contends.

According to Wagner, the vast majority of Americans still obtain local phone service on a flat rate basis — meaning they are allowed to place an unlimited number of local calls for a set monthly fee. Only about 13 percent of Bell's residential customers use some type of measured service, he says.

On the other hand, he continues, more than 50 percent of the Bell System's business customers use some form of measured service — available as an option in more than 40 states.

The problem with such statistics, however, is that they include all forms of LMS — simple systems where there is a flat charge per call, to "full-element LMS" where the billing takes account of time, day, duration and distance.

One example of the former is an option known as Economy Service in the District of Columbia. A customer pays \$2.20 a month, plus 4.9 cents for each local call.

"We've supported that idea of a per-call billing option for years," says Dr. Lee Richardson, a marketing professor at the University of Baltimore and vice president of the Consumer Federation of America. "But the telephone companies have decided they want the full-fledged, so-called local long-distance system."

"And we are ardently opposed to that," adds Samuel Simon, the executive director of the Telecommunications Research and Action Center, a Washington-based public interest group. "It's too complex — unnecessarily complex — and the average consumer won't be able to understand and accurately gauge his monthly usage."

The January 1984 breakup of AT&T has raised expectations that the 22 Bell companies will have to raise local rates to maintain profitability. For one thing, the system of subsidizing local phone companies with long-distance revenue is being overhauled.

Without new options, customers will be locked into flat local rates that could double or triple.

In Chicago, for example, the cheapest flat rate for unlimited local calling is now \$32.85 a month. On the other hand, a Chicago resident can take an LMS option that costs \$8.50 a month, covering 80 calls within the city.

A Man Called Boris

A Bulgarian exile living in Italy is doing his part to bring down the Soviet economy.

The man, who calls himself Boris, writes a letter every week to a Soviet dissident and insures it for \$400. Since the Soviets never deliver letters to dissidents, Italian postal

authorities reimburse Boris, then send the bill to Moscow, which must pay up or be kicked out of the International Postal Union.

Boris says he makes \$20,000 a year writing the letters. If everyone used his trick, he says, the Soviet economy would collapse.

Non-working "SPRINT" Number by Doctor Magic Fingers

In the "Gibberish" column, in Issue #79, Fred Steinbeck mentions use of an Oakland, California "SPRINT number" (415) 832 5015. I boxed a call to that number and found that, instead of getting a dial tone, I got a heating company on the line. I asked if I was reaching (415) 832 5015, and the clerk answered "yes". The number must have been changed.



"WELL, WELL, WELL, WHADDYA KNOW... GAS LINES!"